Unit 6: Organizing Function [6 Hrs.]

Concept of organizing function: Organizing can be broadly defined as the process of identifying, grouping and establishing orderly use of resources within the management system. It is the process of dividing and designing the jobs setting the proper job relation grouping the jobs to make the departments, assigning them to employees, properly allocating the resources and coordinating the efforts within the organizational members. Without effective organization, none of other functions of management can be performed properly.

Principles of organizing: Some of the widely practiced principles are as follows:

1. Objective: An objective is an end or goal to be achieved. The goals and objectives must be clearly defined for the entire organization for each department and even for each position in the organization structure. Once the objectives have been clearly defined, organizing function become easier.

2. Division of work: The concept of division of work is based on the principle of specialization and efficiency. Specialization helps to break down overall task of organization ad divide it into the smaller component parts. Greater output can be obtained when each person concentrates on doing the thing for which he/she is best qualified.

3. Span of control: Span of control represents a numerical limit of subordinates to be supervised or controlled by a manger. It is believed that organizational efficiency is increased by limiting the span of control at any point in the hierarchy to a small number.

4. Scalar Chain: The chain of supervisors ranging from the top management to the lowest rank managers should be clearly defined. The chain of command should be short and clear which makes decision making and communication more effective.

5. Unity of Command: In organizing activities, it is better when an employee receives orders from only one supervisor. Direction from several superiors may result in confusion, chaos, conflict and indiscipline.

6. Responsibility: Once authority is given, managers have to be responsible for their actions. They are also responsible for the action of their subordinates.

7. Efficiency: The organization structure should enable to function efficiently and accomplish organizational goals/ objectives with the lowest possible cost. Hence it should ensure optimum utilization of all resources.

8. Simplicity: The organization should be kept as simple as possible. A complex organization means difficulty of communication and coordination.

9. Flexibility: Since, external environment always changes, it is necessary to cope up with the changing environment. Organizational structure should be flexible enough to cope up with the changes in the external environment.

10. Balance: There should be a reasonable balance in the size of various departments and between centralization and decentralization. Imbalances creates problem to achieve its goals for an organization in an effective and efficient way.

Approaches to organizing:

1.Classical Approcah: F.W. Taylor, Henry Fayol, and Max Weber, were major contributors to the classic approach to organizational design. Though, their prescriptions and approaches to organizing are different, they all advocate ”universal principles” of organizing. They attempt to specify the “one best way” to organizing.

==> F.W. Taylor believed that the key to organizing is to scientifically design the job. Taylor’s ideas on organizing are as follows:

a. Scientific approach to work by determining optimal workload laid by breaking down the job into smaller components.

b. Incentive for reward by designing incentive system in which the workers receive more pay for more output.

c. Separation of planning from performance by dividing work between management and workers.

==> Max Weber is remembered for his work on bureaucracy. The bureaucratic organization has to the following components:

a. Hierarchy: Jobs are highly specialized and arranged in a hierarchy.

b. Rules and regulations: All tasks are performed according to predetermined rules and

procedures.

c. Authority levels: Employees exercise authority in performing their jobs.

d. Impersonality: Impersonality in performing the task is extremely important.

e. Technical qualification and career orientation: Employment and promotion are based on technical qualification and achievement. Therefore, seniority is the main factor in promotion.

==> Similarly, Henry Fayol main principles of organizing are:

a. Unity of command

b. Scalar chain

c. Authority and responsibility

d. Unity of Direction

2.Behavioral Approcah: Behavioral approach to organizing focuses on employee behavior. It points out the people deserve to be the central focus of any organized activity. The following persons are the major contributors in the development of behavioral approach:

a. Elton Mayo's human relations approach highlighted the" people side" of an organization .His studies found that the social context of work, including group norms and interpersonal relation is very important for organizing work activities.

b. The researchers at the Tavistock Institute of Technology in England developed the sociotechnical systems approach. Similarly, John Woodward developed the task-technology approach. These approaches explain the consequences of different types of technical and organizational forms for job satisfaction and workgroup behavior.

c. Chris Argyris propose the Personality and Organization Theory. He argued that each individual has some potential, which can be realized give the right environment. He suggested that to achieve a balance between structures and people's needs, there should be flexible roles, open communication, and reliance on self-direction.

d. David McClelland, Fred Fiedler, and Frederic Herzberg provided manger with still greater insights into employee behavior through their motivation and leadership theories.

2.Contingency Approcah: Systems and contingency approaches have some common viewpoints on organizing. The contingency approach to organizing is logical. Organizations obviously differ in size, objective, and environmental uncertainty. Similarly, employees of these organizations differ in values, attitudes, needs, and experiences. So it is not wise to talk about universally applicable approaches that work in all situations. The Following variables are mainly considered by the contingency approach:

a. Technology: Technology is important to all types of organizations. It is a means by which raw material are transferred into outputs. Selection of technology and its best use are the deciding factors for effectiveness.

b. Environment: Environment has influence on organization's structure and performance. In fact, environmental factors determine the structure.

c. Size: Size affects organizational designs in very complex ways. Large organizations have complex structures. The smaller ones have more flexible structures.

d. Strategic Choice: Strategy is the determinant of structure. Structures are needed to implement the strategy. Management should decide what the

organization isto do before deciding on the structure.

Process of structuring an organization:

The processes of structuring an organization are as follows:

i) Study of Jobs: The first step in the process of organizing structure involves study of jobs and elements to perform activities.

ii) Grouping of Jobs (Departmentalization): Once a number of jobs are identified, it is necessary to group them according to the functional requirement. Some jobs may belong to production department, while the others may belong to marketing department.

iii) Division of Labor: Once jobs are grouped, they are performed with the help of labor. The division of labor helps to maximize outputs and machines.

iv) Deciding on organization design: Organizations follow different structures. Some organizations follow a mechanic design whereas others follow a organic design.

v) Coordination of activities: Although activities are grouped and work is divided accordingly, it is essential to establish coordination of these activities. The role of a leader or supervisor is vital to coordinate activities.

Departmentalization:

Departmentalization is the process by which jobs are grouped and allocated in different departments to different groups according to the need of the organization. In this process jobs are grouped according to some logical arrangement on the basis of functions, products or geographical requirements. The importance of departmentalization can be explained from the following points:

1. It provides the advantages of specialization of work.

2. It helps in fixing the responsibility.

3. It facilitates the development of managers.

4. It makes easy administrative and financial control.

Types:

1. Departmentalization by Function: A function is a group of people, working together, who posses similar skills or use the same kind of knowledge, tools, or techniques, to perform their jobs. Employees who perform similar kinds of work are grouped together into one function unit is called department.

Advantages:

• It encourages professional identity and clarifies career paths among managers.

• In this structure, there is possibility of direct supervision.

• Under the structure, it is easy to develop a pool qualified managers to take future responsibility.

Disadvantages:

• Since all employees focus on a single unit's goal, they may be less concerned about the organizational goals.

• Divisional managers are more concerned with their routine activities rate rather than total issues of the firm.

2. Departmentalization by Product: These types of departmentalization are suited to large enterprise manufacturing a variety of products.All functions relating to one product or product line are brought together under one department or division. Each division looks after the production, marketing, finance and personnel functions of one product.

Advantages:

• It would be easy to group all jobs for a product that make easy coordination and integration within a product department.

• Managers of concerned product department can make prompt decision.

• Divisional performance can be controlled and evaluated without much difficulty.

• Healthy competition among the division of resources can enhance effectiveness.

Disadvantages:

• People working in one department care only one product and regard less about problems of rest of the organization.

• When organization employs different specialists in different departments, the operation costs will rise.

• Because of too many divisions, such structure may create complexity.

3. Departmentalization by Customer/Client: Under this structure, work activities are organized around specific customers. The main focus of this form of departmentalization is to serve different types of clients or customers effectively. Therefore, emphasis is give to customers' types and needs.

Advantages:

• Mainly concentrates on business areas such as product or services or clients.

• Related products or clients can be added without additional need for learning.

• Easy to measure performance of staff on the basis of product or client.

• It helps managers to concentrate on different strategies to expand its customers.

Disadvantages:

• The main problem with this structure is that it duplicates and under uses resources.

• It tends to reduce cooperation across groups.

• With this structure, there will be too many divisions and therefore, complexity will rise.

4. Departmentalization by Territory: Departmentalization can also be done on the basis of territory or geographic locations. It is useful to a large scale enterprise whose activities are widely geographically dispersed. Banks, insurance companies, etc. generally adopt this type of Departmentalization.

Advantages:

• This structure makes easy to serve unique customers and is locally responsive.

• In-depth knowledge of specific region/country.

• Increases accountability by region.

Disadvantages:

• Often difficult for cross-regional coordination.

• Duplication of resources and functions across region.

5. Departmentation by process: This method of Departmentation is implemented in such organization, where production activities need some distinct processes. Specially, this method is used in large scale manufacturing concern such as textiles, cements, chemicals, medicines etc.

Advantages:

• Authorities, duties and responsibilities are clearly defined.

• Efficiency and effectiveness can be achieved in resource use.

• Able to adapt in dynamic environment.

Disadvantages:

• Mostly suitable for manufacturing organization only.

• Duplication of effort leads to inefficiency and high cost.

• There is lack of coordination among processes.

6. Departmentation by Time: Departmentation can also be done on the basis of time. For the organization having the nature of providing 24 hours services, it becomes suitable to establish different departments on the basis of time. Generally, hospitals, hotels, telecommunication, electricity and other public utility companies which work around the clock are made departments on the basis of time, such as day ,evening and nigh shift.

Advantages:

• Optimum utilization of available resources becomes possible.

• Those employees who cannot work in day time can get opportunity to work in evening or nigh time and vice-versa.

• Because of its flexibility, it can respond easily to environment.

Disadvantages:

• Large volumes of activities are needed.

• Since, payment for overtime services is needed, cost of production increase.

• Lack of coordination among departments.

Delegation of Authority:

Delegation of authority is one vital organization process. Delegation means assigning of duty or task with necessary authority by superior to subordinates.In other words, Delegation is the transfer of authority to subordinates to enable them to make decisions and use resources.

Features of Delegation of Authority:

i) Assigning responsibility: It creates responsibility on the part of the receiver to perform the assigned duty.

ii) Granting authority: It grants sufficient authority to accomplish the given assignment.

iii) Creation of accountability: Accountability is a system making people answerable towards those who delegate them authority in the management hierarchy.

Advantages of Delegation of Authority:

i) It reduces the workload to top management.

ii) It can concentrate on important and strategic issues.

iii) It leads to better decisions, because the decision maker is close to place of

action and has a clearer view of facts.

iv) It is an important method of developing managers and staffs in decision making.

Barriers of Delegation of Authority:

i) Employees may try to avoid or not to accept additional responsibilities.

2. The delegation process is hindered because some managers lack confidence and trust in lowerlevel employees.

3. The fear of competition from lower level is also a barrier to effective delegation.

Centralization: When top-management retains power and authority without delegating to the subordinates in planning and decision making matters, it is called centralization.

Advantages

1. Chief executives enjoy power and prestige.

2. Uniformity of policies, practices and decisions are fostered.

3. Duplication of functions is minimized.

4. A strong coordinated team of top management is developed.

5. Full utilization of the main office facilities is realized.

Disadvantages

1. Work load to the top management.

2. Rising inequality in the distribution of authority.

3. Less opportunity for development for middle and lower level managers.

4. Close supervision de-motivate educated and trained managers.

Decentralization: It means the decentralization of power of decision making to the level where the work is to be performed. In other words, It is the

systematic distribution of authority to the lowest levels of the organization.

Advantages

1. Encourage other managers to make decision and take authority and responsibility.

2. Motivates employees at work.

3. Develops skills of managers and ensures their growth.

4. Coordination of activities can be increased.

Disadvantages

1. Difficult to have uniform policy and procedures.

2. Loss of power in certain cases by the top management

3. Chances of misuse when managers are not skilled and qualified.

4. Increase cost in training and development of new managers.

Difference between Delegation and Decentralization:

Basis	Delegation	Decentralization
Purpose	Reduce burden of the manager.	Increases the role of the subordinates by giving them more independence.
Essential	Compulsory act	Optional. It is done at the option of the top management.
Autonomy Of Action	Subordinates enjoy less freedom of action.	Here subordinates enjoys more freedom of action at every level
Authority withdrawn	Delegated authority can be withdrawn by delegator.	Cannot be easily withdrawn
Scope	It has narrow scope as it is limited to superior and his immediate subordinate.	It has wide scope. It is extension of delegation to the lowest level of management.

Types of modern organizational structures:

1.Matrix structure: A matrix organizational structure is a hybrid structure that combines elements of both hierarchical and flat structures. In a matrix structure, employees report to both a functional manager and a project manager.

The matrix structure is often used in organizations that have to manage multiple projects simultaneously, and where there is a need for specialized expertise from different functional areas. This structure allows for increased flexibility and responsiveness to changing project needs and can also help to foster a strong sense of teamwork and collaboration among employees.

However, the matrix structure can also be complex and difficult to manage, and can lead to confusion and conflict over roles and responsibilities. Effective communication and strong leadership are crucial for making a matrix structure work.

2.Team structure: A team-based organizational structure is a type of organizational structure in which the organization is divided into small, cross-functional teams. Each team is responsible for a specific aspect of the organization's operations and is empowered to make decisions and take actions to achieve specific goals or objectives.

Team-based structures can be found in a variety of different types of organizations, including manufacturing, service, and knowledge-based companies. Some advantages of team-based structures include:

Increased flexibility and adaptability: Teams are able to respond quickly to changing conditions and opportunities, and can make decisions and take actions more quickly than a more hierarchical organization.

Improved communication and collaboration: Teams are able to share information and ideas more easily, which can lead to increased creativity and innovation.

Greater employee engagement and motivation: Team members often feel a greater sense of ownership and responsibility for their work, which can lead to increased engagement and motivation.

Better decision-making: Team members bring different perspectives and skills to the table, which can lead to better decision-making.

However, team-based structures can also be challenging to manage and may lead

to issues such as poor communication, lack of accountability, and conflicts over roles and responsibilities. Effective leadership, clear communication, and strong teamwork are crucial for making a team-based structure work.

3.Network structure: A network organizational structure is a type of organizational structure in which an organization forms partnerships and alliances with other organizations to achieve a common goal or objective. In a network structure, organizations work together in a decentralized and loosely-coupled way, with each organization retaining its own autonomy and decision-making authority.

Network structures are often used in industries where innovation and collaboration are important, such as technology, research, and development. They can also be found in industries that have high levels of interdependence, such as supply chain management, logistics, and transportation.

Some advantages of network structures include:

Greater flexibility and adaptability: Organizations can respond quickly to changing market conditions and opportunities by forming new partnerships and alliances.

Increased access to resources: Organizations can leverage the resources of their partners to achieve their goals more effectively.

Improved innovation and creativity: Organizations can share knowledge and ideas with their partners, which can lead to increased innovation and creativity.

Greater access to new markets: Organizations can enter new markets more easily by forming partnerships with local organizations.

However, network structures can also be difficult to manage, and may lead to issues such as lack of coordination, lack of accountability, and conflicts over roles and responsibilities. Effective communication, strong leadership and clear agreements with partners are crucial for making a network structure work.